UK & Europe Vacation Rental Market – Awaze Vacation Rentals & Airbnb – Former C-level Executive at Awaze Vacation Rentals Ltd

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Expert background

- Around five years' experience at Awaze Vacation Rentals, with a strong understanding of its competitive differences and advantages vs Airbnb, noting Awaze's offerings
- Can speak to Continental European-specific players not operating in the UK, highlighting which of them are growing or losing market share, and which are doing aggressive campaigns or reducing margins
- Knowledgeable on typical churn rates for a company on a stand-alone year, and also if a company was acquired, as well as areas within Europe where there is more growth vs weakness
- Familiar with the impact of weather fluctuation on travel demand and booking trends, including newer trends around staycations and last-minute booking

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Transcription begins

Q1:
We're looking to better understand competitors across UK and Europe vacation rental markets. To begin, what are the differences between Airbnb and Awaze, because I was under the impression that Awaze provided more cleaning and ancillary services for customers.

Expert: I wouldn't necessarily say that Airbnb is a competitor. Awaze uses Airbnb as a distribution channel, if you want. Airbnb clearly is the largest operator in this space, but they are much more focused, I would say, or they have their own recruitment teams in cities where you have a higher density of properties, while for suburban locations, they are using aggregators, if you want, or other companies like Awaze that already have a considerable portfolio of properties. Then, I would say, it's a symbiotic relationship on one side because Awaze can use the Airbnb websites and the traffic that comes to the sites to get the properties exposed. Airbnb is only one of the channels because they also use Vrbo. They use HomeToGo. They use various, I would say, ways to market the sites, the properties, but they also have their own website. They also do direct marketing by using Google, using YouTube using other or repeating customers for direct marketing by e-mail. Airbnb, while clearly is the largest player in the sector, it's also a channel. Therefore, Awaze doesn't see it necessarily as a competitor.

Q2: Who do you view as competitors in Continental Europe and the UK? Is there one that covers both? Are there different players in different markets?

Expert: The only one that has, I'd say, also an international presence like Awaze, but it's much smaller is Oyo. Clearly, they were very aggressive a couple of years ago, but then the financial situation became a little bit more dire, so they decided then to be much more focused on the countries in which they operate. In UK, you'd have competitors like Sykes, but Sykes is only doing UK. I think you also have something in Australia. Then you'd have Travel Chapter that is also only focused on UK, smaller than Awaze. These will be the main, I'd say, players in the market. Clearly, the market is highly fragmented. You have a wide variety of smaller players, which are mainly regional players. You don't have international players. You have small entrepreneurs that would have, I don't know, anywhere between 100 and 1,000 properties, but they will not be internationally focused. They will actually be then, maybe, focused on a region in France or in Italy or a region in UK, if you look at, I don't know, Wales or Scotland. It's a hugely fragmented type of industry. Then you have the big players like Airbnb and Vrbo as already discussed, that are really global players, and they have their own recruiters with their own properties, but also then they work with aggregators in which they resell sites or properties that have a relationship with one of the smaller players.

Q3: Are there any Continental European-specific players that don't operate in the UK?

Expert: There might be so HomeToGo is a German that's publicly listed company, for example. They are operating out of Germany. They have an international portfolio, but they will again also use maybe some properties from Awaze or from some of Awaze's competitors. Yes, there are players, but it's very much like they cover certain markets, I mean, beyond these really big ones, Airbnb, nobody covers more than Europe. It's a very focused. Then the American market is completely different. You have Vacasa or other players in the US, but they only play in the US. I'm sure there are some in Asia, but I don't know them because we never actually operated in Asia.

Q4: Which of all these players is performing well or are well-positioned vs others? Do you see one growing or losing market share?

Expert: The market has been, I would say, difficult for everyone over the past few years because this is a B2B2C type of market. You have a B2B with the homeowners. The properties are owned by individual people, and they might have one or several houses that they then rent out. There's the B2B component. Then the B2C is that once you have the properties, you actually let it out to consumers. These consumers can be domestic consumers or can be international type of travellers. Now clearly, since, I'd say, 2023, the industry had growth and it might still be growing a bit now, but not as much as before because since then, first, you had COVID that started in 2020. Then the Ukraine war started, which put a lot of pressure on families' budgets because electricity and utility costs went through the roof. Now you have the Middle East war that, again, with fuel prices being high and inflation again on the way up, that all puts pressure on the amount of money that people have to spend on holiday, while everybody wants to go on holiday and they do.

The question is, do you do one, two, three, four holidays per year? I'd say, in the good old times, people used to go 3-4 times on holidays and maybe 1-2 were international holidays and then the other two are shorter domestic holidays. Now after COVID, you saw a lot of people wanted to go and travel internationally because they weren't allowed to do it for two years. Then the market settled again, but then because of the affordability, it became sort of the market is growing, but at very low single digit. Coming back to your question, it's also difficult to define the market share because it's a constant change, and it's not something like hotels that you know exactly how many hotels are in the world. You have to think that there are about 18 million second homes in Europe, for people that have a second home. Then from this 18 million, a large majority is not letting their second home. They use it themselves.

From the 18 million, about 15 million would not be actually let out by owners. It's their vacation or second home. Only about three million are let out. Then again, from this three million, let's say, about one million is urban, so in cities and then about two million is the non-urban, which is a space where Awaze is playing. There is a lot, I would say, the movement in terms of people that don't let and then maybe they decide to start and let it because they need money. There are people that got into the sector saying that they're going to make a good living and then legislation started to change also on the back of the Airbnb. You might be aware that in some of the large European cities, the local authorities do not allow for properties to be let out more than, I don't know, 60 days or 90 days per year because they were creating a lot of issues for the residents, but also because the rental prices for the people that look for a property actually exploded. There were all these factors.

Then the next step was the VAT because the vacation rentals used to be VAT exempt, but then the European Union changed the legislation in 2023, where now you have to charge VAT and report VAT and the taxes for the homeowners. That actually put the prices again up. There are many, many changes in the industry that then either determine some of the homeowners to start and rent their properties or at least to cover some of these costs. This, and then in UK, there was a legislation introduced about, I think, 1.5 years ago that secondary or second homes will be taxed higher than the rest to force owners to let or to put the properties on the market because there is a scarcity of properties. All these affects the property, so people that didn't want to let it, they let it out or maybe somebody that used to let the property. Again, you have the 3Ds divorce, death and then there is another one.

If people get divorced, they might sell it. If they die, the children might take it over or whoever takes over the estate, they might sell it or use it themselves or people. It's a constantly moving, I'd say, environment. Therefore, it's very difficult to say what is the market share because there isn't a way in which companies report how many properties they have and also not all properties are exclusive. Again, if you have in your portfolio non-exclusive properties, then it's very much who lets the property first. That property might be counted three times because there are three providers that have the property. To your question, who's growing? Who's actually losing market share? That's difficult to say. You look at the number of properties that people have in their portfolio. Again, it's an indication, but it's not, I'd say, 100% correct indicator because of these exclusive, non-exclusive properties that, again, creates a gray environment. Therefore, you'd say I haven't seen anybody, the only growth that I've seen is through bolt-on type of M&A activities where people go and buy like a provider that has 200-300 properties in a certain region.

What you also see is that whenever this happens from the properties, it's only for one year. When you buy an estate or a company, normally, they operate on contracts that have to be renewed every year. Then what I've seen in certain cases, the homeowners because you have to sometimes change the terms that you have with homeowners so that you can operate with the way that you have your properties on your website with certain terms and conditions, you can't actually operate with 50 different types of terms and conditions because it's unmanageable for the vacation rental company. As you try to harmonise the terms and conditions, some of the homeowners don't like it, they churn. What I can say is that Oyo that used to grow significantly back in '21, '22. They actually stopped actually acquiring a lot. They bought a large company called Belvilla that was in 2021, but then they haven't actually spent money on M&A.

Then Sykes and Travel Chapter, they remain focused on the UK market, but they haven't increased. They all have, I think, Sykes is around 20,000 properties. Travel Chapter, it's around 15,000, give or take, and Awaze is around 25,000, 24,000-25,000 properties. These numbers haven't changed a lot because you have all the time you acquire new properties, but you also have churn. It's almost like you need to continue to acquire properties just to stand still.

Q5: What is the typical churn on a stand-alone year, and also if a company was acquired?

Expert: Normally, because you have some churn that you can't control, which is that, let's say, change of ownership when somebody dies or somebody has debt and they have to sell the properties or a divorce. That's when people, again, split assets. That will be just somebody retires the properties from the market because they want to renovate it, so I would say you'd have a normal level of churn of high single-digit. Then on top of it, you have churn that comes from owners that might not be happy that they made enough money or that their property was let enough weeks. Let's say, that might be another 7-8%. I would say the normal churn would be around 15% per year. Now if you do a very good job, you can reduce that one because you have less owners that leave you, but you can't influence the first category because that's just something out of your control.

Now when you acquire a business, again, over time, I would say, the way that you do it, the owner, when they sell the business, they are still tied into the business for a certain period of time. Therefore, they continue to keep their customers. Let's say, while you start to integrate the inventory into your own platform with your own tools on the website and then change some of the terms and conditions, you might see churn creeping up. It's difficult to say because, again, it depends on each company what terms and conditions they have. If it's very different from what the acquirer had, then the churn will be higher. If they are more similar and there are smaller changes, then you'd have, again, the normal churn that you'd see in any company, as I said, about 10-15% per year.

Q6: Do you see companies such as Awaze, Oyo and Sykes having particular competitive advantages? Are they very similar businesses?

Expert: Honestly, what makes the difference is really the quality of properties that you have. Clearly, what I'd say is that when properties are non-exclusive, that's, well, a worse proposition because you as a vacation rental management company, you don't have control or not all the weeks are yours. It's the first come, first served. If somebody has an aggressive campaign with lower prices or whatever, they might let the property out, but then also the margins are smaller. Ideally, you'd like to have exclusive properties, exclusive at least for one year, and then you renegotiate every year and keep them exclusive because if the properties are very good, then ultimately, that's what the travellers or the visitors want. They want nice properties that are kept well in good conditions. Depending on the location, if you are in the southern European country where people go there for the beach, then you want to be closer to the beach. If you are somewhere in the UK, like Scotland and Wales, they are looking for a property that is well-located to certain amenities and whether they want to go biking or walking or whatever. That's what drives it.

Ultimately, the quality of the property. In the last few years, also what type of features that the property have? Do they have a hot tub? Some people, especially now with pets, having pets, they want to make sure that the property has a fence so that the dog or whatever the dogs cannot get out. There are certain features that people start to ask for. You have also glamping or type of things where people say, "Oh, I want to be somewhere where I can see, I don't know, whatever I want to see." It's very much about the features that you have and what type of features people look for. If you ask me back, does somebody have a competitive advantage? I would say it's very much the difference is made by the quality of properties that a provider can offer. Ultimately, if you have good properties and you can let them out, then also the owner is happy because he or she makes enough money. Then clearly, over the past few years, things have started to change because of AI.

Now it's quite difficult or quite expensive also to market these properties because when you go, it used to be very much the Google SEO and now the SEO is disappearing. You have to pay for everything for every click, and that has become much more expensive. I think also a well-run company beyond, I would say, the exclusivity and the quality of the properties is also your whole operating model and the ability to reduce your unit economics by acquiring properties, reducing it or cheaper, reducing the churn rate, making sure that you have a slick operation, automating more internal in terms of processes. Yes, you do, in some cases, cleaning, if you have a high enough number of properties on a certain area because otherwise, you don't want a cleaner to drive 50km to clean a property because then it's very inefficient. All these drivers have, I would say, play a role based on how profitable a company can be. Life, let's say, has got more difficult over the past few years. It's still quite competitive. I'd say, the pressure on the disposable income didn't make life easier.

Q7:
You mentioned companies doing aggressive campaigns or reducing margins. Are you seeing any pressure on the take rate from these businesses as they take a percentage of the nights sold?

Expert: Yes, because when you run campaigns, ultimately, you give away from your margin. You have a deal with the homeowner for the sake of the example, let's say, 20%, it's your take rate. Then if you actually go and reduce the price, you normally agree corridors with the homeowners within which you will actually participate. Then if you reach the bottom of the range, whatever additional discount you give goes against your own margin. Again, if you use Airbnb or some of the other bigger operators, clearly, you have to give them their cut and then your margin is much smaller. That's why managing the channels properly is quite important because you could put everything on Airbnb, but they charge their 15-16%. Therefore, then you are left at the end of the day with very little. All the money that is left pays for your recruitment or property recruitment team, and there's hardly any margin left for the business.

I think that's where it's quite important to make sure that you have enough properties also good quality, but also that you don't have only 1-2 properties in a location because when consumers come to your website, they want to have a choice. If you don't have a number of properties available, then they would go somewhere else. It's that balance between number of properties, getting them let out or rented to get the money in, to have the homeowner happy, making sure that you make money, making sure that the cleaners don't have to drive miles to get them cleaned. Have all these things, it's an equation with several unknowns that you have to make sure that are all adjusted for to make a margin.

Client: As a result of its competitive market dynamics as opposed to structural change from the homeowner demanding a lower cut, right?

Expert: It's more from a structural part where inflation has pushed cost up. Homeowners, they would know that even if they go to Airbnb, they would have to pay their, I don't know, 16-17%. They don't get a lot from Airbnb. I mean they get the eyeballs, if you want, and the communication with the visitors, but then everything else has to be done by the homeowner. Therefore, having a vacation rental company that can arrange for cleaning, can arrange also for somebody to meet a client or the visitor, if there is a problem doing inspections for the property. I'd say vacation rental companies look a little bit better, I'd say, after the properties because they have a lower number of relationships. They normally do when the cleaning happens, they look at the property so that nothing has been damaged. It's almost like an inventory that is being done so that the homeowner doesn't end up at the end of the season with a rundown property.

Q8: Are there certain areas within Europe where you are seeing more growth or weakness?

Expert: You need to have, clearly, size. Again, if you start the business today, let's just say that if you look at the competition, how fragmented the competition is beyond the big five or six. So you might know your neighbourhood within, I don't know, 100km from where you live, you go and recruit if you are in Wales or Lake District. The problem is that it's very difficult then from there to expand in a completely different parts in UK. You can't go to Devon. I mean you can, but then you need to set up again, your team there that goes and knows the area. There are some synergies if you are big enough because then you can do marketing, it's by one team. People come to your website and you have all the properties on the website and you can deploy on technology, on AI. You can do dynamic pricing, which otherwise maybe as an individual homeowner or a small provider, you don't have the money and the expertise, IT expertise to deploy these tools.

Now there are companies that are saying, "Oh, we can provide you with all these tools, software companies, so we give it," but it's not. I mean, they have some capabilities, but it's not as well done as when somebody owns it and knows exactly how it works. I would say there are many people saying, "Oh, you can outsource the whole cleaning and everything to us, we'll do it. We are a tech company." Many tried and there is no provider that's really also in terms of dynamic pricing, yes, you can buy it and you pay a fee from your revenues for the dynamic pricing. When the company owns it and runs it, they feed it with true data, and they know exactly what the price is because they just let the property and they know exactly for what it goes. I'd say, the price is much clearer and more, I'd say, precise than if you use the tech companies that they try to do the job, but they don't feed the tool with the same level of granularity and information.

I would say from this point of view, it's much better if you have a size and you can afford. As a start-up, you can grow. I think that was one of the business models where people always hope that they will get to a critical number of sites or properties and then they will be acquired. That was always because you don't make a lot of money by having 50 properties or 60 properties. It depends again on the weather. If the weather is bad, then right now with a brilliant weather, I'm sure that many people just decide to go for the bank holiday, but many of these decisions are ad hoc once you know, okay, it's going to be hot, nice, let's book something. If next year, it's rainy and cold, then people just don't go.

Q9: Do you have a sense of how much of an impact the fluctuation in the weather has on demand?

Expert: It does. I mean it could be. Honestly, if you have a miserable summer, then you could see 10-15% lower bookings. There will be people that would have booked long in advance and then they are stuck and they say, "Okay, we're going to go anyhow." If you have really good weather, you'd see many properties actually booking better because people just say, "Oh, it's nice. I don't need, now, to jump on a plane to go somewhere. I can stay in UK and have a brilliant summer or late spring holiday."

Q10: There's talk around the staycation trend increasing this year due to the Middle East conflict. Do you see that benefiting the market in the UK or outside it?

Expert: It does because you have more people staying domestically rather than going and especially because flight tickets are expensive. It's cheaper to go if you're especially a family with two children, you go on a car, okay, fuel is still expensive, but it's still cheaper than if you have to buy four plane tickets. That being said, in the past, people used to do a fourth holiday or a fifth one over the bank holiday. Now if people don't have money, there is a conflict, that's true. That helps but on the other side, people say, "Okay, it's expensive, and therefore, I can't afford it. I need to pay, I don't know, my mortgage or I need to do something, and therefore, I only stick with two holidays. I don't do the third one." Ultimately, they might do maybe both holidays in the UK, which in the past would have been maybe one abroad and one in UK. It's better, but then the third and the fourth one is missing. I would say revenues have been growing a bit, but are flat. It's not like you see even now with the staycation, it's better than it was last year, but because of affordability, especially now when you see inflation creeping up, everybody is concerned.

People might book more last minute because they hope then that they will know whether they have the money or not. You are much better informed around the weather if you do it a week in advance or two weeks in advance rather than two months in advance. You also expect that the prices might come down if the locations are not filled up, then providers will look at maybe running promotions and then reducing the price by, I don't know, 5-10%. Then again, you might have demand, but if the price is minus 10%, you might have an increase in volume, but then it doesn't make up and price reductions are much more difficult from a bottom line point of view because you have all the costs same. It's just you make less money per property.

Q11: The last-minute booking trend has cropped up a lot across the market. Are you seeing this play out as revenues come in? Do you think this is a delay or a signal that people are booking less in general?

Expert: I think ultimately, right now with the nice weather to have now, I'm sure that May will be a much better month than if it would have been a miserable month in terms of weather. I think, also, if June stays relatively nice, there will be people that just decide, "Look, let's take a short holiday because we haven't had one maybe for a while." The weather definitely helps, but it's not more than a low single-digit, definitely not. The prices are still because it's pre-season, I'd say now. I mean, okay, bank holidays is high season but if you know next week, now it's just half term. Now it will be higher priced. If you go outside the school holiday before July and August, which are the most expensive weeks in the year, then you might still get some promotions if demand is not huge because people can't afford it or are saving for their annual holiday in the summer.

Q12: Do you think the last-minute trend is more around weather? Is it around fears of whether or not people will go away? Is it due to volatility from the Middle East escalation? Where do you think this trend is coming from?

Expert: There are several directions. First of all, I'd say that you'd see there are certain customer segments that really book last-minute because they need to see that they have the money to do it. They will be not the ones that go, but there will be the ones that go into two and three stars type of properties. Affordability is a big part. If interest rates start to go up, then people that have mortgages and other things, they will say, "Okay, I can't afford it." Affordability is a big decision factor. Now I'd say the Middle East conflict, it's not so much because it's not the Middle East per se that people are scared of the war. It's just really the utility and the oil price. The petrol price. If it's very expensive again, then people might say, "Oh, no, I can't afford it." It comes back to affordability. It's not that they are not flying or they don't fly because the flight tickets are too much, and then they decide to stay domestically and you take the advantage of going by car, which is cheaper than flying.

Then the weather clearly is an important factor because if it's miserable, then you say, why should I spend, I don't know, GBP 1,000 to go with a family somewhere because it's miserable anyhow. I can save the money and maybe book at a later point in time when things are better. It's all three play a factor. When there is no war in the Middle East or if it stops, peace is reached, still the question is, is the inflation going to continue to go up, which people expect because everything actually became more expensive. The affordability remains. I think it's less the fear of the war. It's really the, I would say, economic consequences of the war, which will not go away immediately.

Q13:
Have there been any businesses sold or acquired in the last couple of years in the market that

could point to an EBITDA multiple for these businesses?

Expert: There haven't been any recent transactions. All these businesses are owned by private equity. Sykes is owned by private equity, Awaze is owned by private equity, Travel Chapter is owned by private equity. You see also the parks which is entirely a different type of business, but it's also offers alternative accommodation. It's a lot of private equity money invested, and there have been no transaction recently. It's only when somebody goes belly up or you have, especially not so much in vacation rentals, but in parks because there you need CAPEX and you have fixed cost because you have to keep your bungalows and your caravans to be usable. You have maintenance costs, which are quite high and you can't ignore them. There, you might hear that somebody actually went in Chapter 11 and then it's bought. I would say it's not a real market. It's just a price that is a cheap price that somebody has paid for it. In terms of the true good assets in this market, there haven't been many transactions. Also because maybe people feel that the asset is worth more.

At this point in time, given the pressure on private equity, given the pressure on also private debt to raise the money to finance the transaction, it's challenging, and therefore, everybody is still holding to these assets in spite of having the same ownership for a reasonable amount of years. What you'd expect? The Awaze has been acquired by [firm] in 2018, and now we are in 2026. It's eight years is, I would say, a long holding period, but it's not the only type of asset. You see many other assets in private equity that have been now in the same fund for a longer period. Exits don't happen or people expect higher valuations that they don't get. It's difficult to say whether the valuations will come back. If the interest rates go up, then this would put more pressure on the valuation because the debt to acquire the business is going to be more expensive. I don't think there is a lot of tailwind right now. I'd say, if anything, it's more like headwinds because of the, let's say, economic conditions around the world.

Client: What is the range of market multiples you think are fair?

Expert: It's difficult to say what's fair nowadays. It's almost like you have a house and you want to sell it and you have a view on what the house will be worth to you, but then a third party say no. It's difficult to give a range right now. Ultimately, I'd say, a couple of years back, these type of assets are CAPEX light. Once you have your IT systems in place and capabilities, you only need to keep them running. You don't need to develop new capabilities. It's less CAPEX. People in the past used to say like 14, 15x, maybe 16x but I don't think this type of valuations are possible nowadays. I don't know what the low part of the range would be because as long as no transactions are happening, it means that nobody is willing to sell at the lower part of the range.

Client: Do you think the low part of the range is high single-digits?

Expert: I'd say it would be low double-digit. I think high single is no. No, I don't think so. I think that will be a double-digit number. Yes, it will be too low. I can't tell you because it has to be when somebody sells somebody has to buy or if a buyer makes an offer, the seller has to say, "Yes, it's good enough." Most of them also have debt. Ultimately, you have to think that once you sell the business on the multiple, you also have to pay back the debt and then the sponsor still needs to make some money because they have to return the money to their limited partners, so which are the investors in the fund. There might be hardly anything left if the multiple is not high enough. In some cases, it's just the math might not work.

Q14: Do you expect market consolidation in the space? If yes, who do you think would be the player that could do that?

Expert: I think if the valuations are low enough, then yes, because clearly, bigger is better but right now, the lack of transactions says that, again, what somebody an established player in the market would be willing to acquire at is not available in the market. They will be looking for a higher multiple. Therefore, right now, the lack of transactions tells you that the there's a gap between, well, expectations and what somebody is willing to pay. Also, if you think that some of the players have been in the market for quite a while, then ultimately, if you have been 6-7 years invested and you can't see like an immediate transaction would help you to make a better exit in two years, you don't want to hold the asset another five or six years. If that actually means that you have to work hard to take the cost out for another two years or three years and then be able to sell for some of the players in the market that might be a bridge too far.

Q15: Do you see a player such as Airbnb or an aggregator stepping in and trying to buy up some of these businesses? Do you think it wouldn't want to get involved in that part?

Expert: No. Why would you? Ultimately, because they use some of the assets, they get access to these assets just by listing it on their site. Why would you like to own? Because ultimately, what you buy is a relationship for one year. Then again, the owner might decide that for whatever reason, they maybe don't let the property anymore or they just sort of go somewhere else. No, I can't see the larger players because they have these properties now anyhow because most of the smaller players or the VRMC are also using Airbnb as a channel. Maybe they don't have access to the entire portfolio because that's what they're doing. They're keeping the best properties for themselves, but they have enough inventory. No, I can't see like one of the big guys buying the VRMC.

Either it's a new private equity game that comes in that maybe says, look, AI will change things and we can run it even more efficiently or if there is this bad situation continues to be, maybe somebody will acquire a player if that player starts to have financial difficulties. Then it's better to sell it for something rather than not getting anything and the banks or the lenders are taking over the asset. I think this determines on if some of them end up having financial difficulties, then you might see a consolidation. That's going to be the last resort

Q16: What do you expect the exit to be for all these PE firms that own all these assets?

Expert: It's been years now and not much has changed. Some of the players have actually implemented quite drastical cost savings, which I think it's good because you need to reduce your cost base to be able to continue to pay your interest and they reduce also the CAPEX to a minimum to almost like keep the lights on. With AI now, again, it's almost another wave of investments will be required, maybe not immediately, but let's say, in three years from now, many of the tools will have to be upgraded or will have to have some AI component in it, just not because it's AI, but because it's more efficient and you have agents that can maybe do things rather than having a team of people doing it, you can reduce the size of the team and spend it on software. Then these agents will work 24/7 rather than five days a week, 9-5. I think there will be efficiency gains to be had from software development, but this requires new CAPEX to be spent and maybe they will do it in phases.

I think the industry remains challenged. Until somebody is in a situation to say, where we need now to jump because we can't actually or our costs are too high, inflation puts a lot of pressure on our cost base, and we'd rather sell it rather than hand it over to the lenders. I can't see a transaction happening anytime soon. I think also one important factor will be because many of these companies have been funded with the 5-6 years ago and the debt reaches now maturity. The question is at what conditions, especially if the private credit is now a bit challenged because of what's happening in the market, at what terms and what conditions can these companies refinance themselves. Again, if the cost of refinancing might be much higher than what it was before, this might be a trigger to say, okay, we want to get out even if you don't make the margin that we would have liked or even the reduced margin, maybe it's just you just get your capital out and move on. This will not be something that people will want to do easily because then the fund and the LPs will not be very happy, but they would rather have some money back than seeing the money lost.

It's a difficult industry. I mean, it has the right characteristics, but it's very much, I think, most of the B2C type of businesses, whatever is consumer-facing, it's struggling right now beyond software where the AI disruption might makes it a little bit difficult to predict what's going to happen. I'd say AI is less of a threat in this industry, which is good news. The threat is really coming from the pressure on consumers and on disposable income. It's not the first or second year since 2020, if you think it's 2026 with maybe a small respite of when 2022 happened when people had a lot of accumulated, let's say, savings after COVID because they didn't go out. That was the year when people were spending money. Then again, it's just, the world went from one crisis to another and were big crisis, COVID, Ukraine war, Middle East war, and it's been tough. It's been tough. You read in all private equity, right? If you see private equity right now is really challenged in much less exits and overall, the sector that used to have a fantastic ride based on low interest rates.

Now interest rates are higher, but they might get even higher. That will actually make the whole private equity story even more difficult. It's just that, that was the model for deploying money at low interest rates and reasonable consumer spending and now interest rates and consumer spending are, yes, in a difficult spot. Therefore, people will not buy a business if they don't see how they can make money on it. If you have fund and you have money, you'd be saying, okay, either I buy it on the cheap side, or otherwise, AI has to really be a tool that will allow me to increase the margin by x percent when I make the exit, but it's, I would say, quite difficult right now.

Q17: Are there any other important dynamics in the industry that we haven't touched on?

Expert: I think the only part VAT, we talked about it. The other part that could play a role is taxation, and we again, because all the governments are hungry and they all talk about, well, one form of wealth tax, when people that have a second house, they are wealthier than people that have only one house or one flat. They might become a target for certain governments with UK government or foreign governments. This might make it even worse because then people might start and say, "Okay, let's tax that and let's do that." Therefore, then homeowners will be looking again for, "How can I actually cover the cost, either I put the houses on the market or I want to have pay lower commissions." I say the commissions, the risk on commissions is rather low to reduce the take rate because already Airbnb and the rest, they have set a plateau. Then vacation rentals would actually come with some value-added services that Airbnb is not offering, and that has to come with a cost or price for in the commission. Is it two, three points on it, like 200bp or 300bp? I don't know, especially if you're an owner living in London and your property is 300-400km away, it's too expensive for you to go and clean it every time you have a change in tenancy.

There will be certain services or if something gets broken, you need to go and look for some way to go and repair. There are certain services. Say the vacation rentals, vacation managed rentals will always come at a higher take rate than Airbnb for this very reason. I think the whole model to live on rentals and it's becoming less attractive for anyone to get into these sectors. We used to have many buy-to-let owners. You see it, especially in UK because of all the reasons that happened over years in terms of taxation, making it less attractive. People are trying to exit, whether it's in cities or suburban because they are not making money anymore. It's a sector that letting is actually hugely under strain. It's not only in the UK. You see it in many parts of Europe, where it's Spain or Portugal, where, again, people say that foreigners are the plague because they come and take the houses of the local people, but the problem is that the local people can't afford it anyhow. It's not one thing. It's a combination of factors.

These factors might change every year depending on the political environment, economical environment. It's so difficult to predict what's going to happen. Where people are saying we're going to stay in UK. Yes, they stay in UK. The question is if you still only do it once or twice, it might be less than what you'd need for a vacation rental operator to say, "I need to have three holidays or so, to be able to really make more money. Otherwise, I'm going to be flat on last year. " It's not black and white. I'm afraid. All these things do play a role.

Transcription ends